Economics / Secondary

Choice and opportunity cost

Resources and time have alternative uses. Opportunity cost is the value of the next best alternative forgone when a choice is made.

Core ideas

1. Identify the available alternatives.
2. Choose the next best alternative, not every rejected option added together.
3. Opportunity cost may be expressed in time, goods or another benefit, rather than only money.

Worked example

A learner can use an hour for a science task or a history task. If history is the next best use and the learner chooses science, the history work forgone is the opportunity cost of that decision.

Try it yourself

1. Is opportunity cost the sum of all rejected alternatives?
2. Can an activity with no money price have an opportunity cost?
3. What should you identify before stating opportunity cost?

Check your answers

1. No. It concerns the next best alternative.
2. Yes. The time or other resources used may have an alternative use.
3. The choice made and its next best alternative.